A Case Study of Voluntary Disclosure By Vietnamese Listed Companies

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Abstract

The study intends to make practical contributions to the literature on voluntary disclosure and corporate governance in the context of integration in Vietnam through investigating annual reports. First, this paper indicated that, independent variables of firm size, profitability, audit committee and dual leadership, those belong to firms' characteristics; ownership structure and corporate governance are all positively associated with level of voluntary information practices. Second, the study also reported the different influential levels of such independent variables on all categories of disclosure information. It means that, each independent variable is significantly associated with one or several categories, but not with the others. Last but not least, this study recommends corporations to strengthen supervision and monitoring the performance of information disclosure of listed companies, on the other hand they need to improve the quality, content and diversify means of information disclosure.

Keywords: *Annual reports, government ownership, influential factors, ownership structure, Vietnam, voluntary disclosure.*

1- INTRODUCTION

Annual reports are comprehensive reports published by public corporations throughout the preceding year on a corporation's activities and financial status. Researching annual reports is a great way to learn more about the company and its business operations. The most important role of annual reports is to provide relevant, useful and reliable financial information to investors, shareholders and other interested people about the financial position and performance of the business as well as its future prospects to help users in decision-making. The information that has been supplied by annual reports towards their stakeholders includes two types: compulsory and voluntary information. This paper concentrates on researching corporate voluntary disclosure, being in excess of requirements in compulsory information, represents free choices on the part of managers to provide information to users of the annual reports (Yuen et al., 2009). Such kind of information is voluntarily disclosed to satisfy the users' needs seem to be inadequately supplied by the mandatory disclosure.

There were considerable researches in developed countries, and recently in several developing ones that concerned voluntary disclosure information in annual reports. Nevertheless, there are a few empirical researches on disclosure practices in the context of Vietnamese listed companies. The Vietnamese government has put much effort to persuade all types of enterprises to increase transparency of information to make it convenient for management and investment. Moreover, Okeahalam (2004) emphasized an urgent requirement of examining the relationship between the level of voluntary disclosure and corporate governance in each country. On that basis, this paper has an ambition of filling this research gap by investigating the corporate financial reporting in the conditions of Vietnamese listed firms. It is one of the first researches about the voluntary disclosure information in corporate annual reports of a developing country-Vietnam, and aims at to determine the potential influence of firms' characteristics, ownership structures and corporate governance structures in order to explain the level of information disclosure.

The paper is organized as follows. Section 2 provides the literature reviews and hypothesis development on voluntary disclosures. The research methodology will be discussed in Section 3 and followed by results and discussions in Section 4. The final section will summarize and discuss the implications of the study.

2- LITERATURE REVIEWS AND HYPOTHESIS DEVELOPMENT

Various studies concerned the influences of factors on voluntary disclosure of listed firms. These studies have used disclosure index or score to measure the level of corporate disclosure in annual reports of financial statements. In Vietnam, there are a few studies which investigate the relationship between influencing factors and voluntary disclosure. In my best knowledge, there is only empirical study of Vu et al. (2011), which obtained the data from annual reports of 110 randomly selected Vietnamese firms in 2009 and showed out the significant relationship between firms' size, state ownership and Big4 and voluntary disclosure. Several other papers have used qualitative methods to analyze the current situations and factors influencing voluntary information disclosure in Vietnamese listed companies (Hang, 2011). The following parts examine the impact of corporate characteristics, ownership structure and corporate governance characteristics on voluntary disclosure in

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the annual reports of Vietnamese non-financial listed companies.

2.1- Corporate characteristics

2.1.1- Firm size (size)

Firm size is defined as a significant explanatory variable in explaining variation in the level of voluntary disclosure in previous studies (Hossain and Helmi, 2009). It is measured as the ending-of-the year value of total assets of the company. Many previous disclosure studies argued that company size has an important impact on the disclosure levels of listed companies (Singhvi and Desai, 1971; Chow and Wong-Boren, 1987; Lang and Lundholm, 1993; Owusu-Ansah, 1998; Belkaoui-Riahi, 2001; Watson et al., 2002). Hagerman and Zmijewski (1979) and Watts and Zimmerman (1978) supposed that big companies have a larger role in society in the process of controlling price and in the threat of nationalization and the social responsibility; therefore to improve their public image as well as to decrease the threat of government and public criticism, larger firms should disclose much more information in their annual reports than smaller ones. Wijantini (2006) revealed that the Indonesian firms' size appears to have a positive affect with significant levels of disclosure. All of the analyses of reasoning provide strong grounds for predicting that larger firms are more likely to disclose voluntary information than smaller companies. Thus, the following hypothesis is tested:

H1: The larger the firm, the higher the extent of voluntary disclosure.

2.1.2- Profitability

Most empirical studies have shown a positive relationship between profitability and the level of information disclosure in annual reports. Rafournier (1995) and Meek et al. (1995) argued that highly profitable firms may wish to disclose detailed information as a means of advertising their good performance to the public and their potential investors. Singhvi and Desai (1971) and Inchausti (1997) also suggested from the perspective of agency theory that managers of more profitable companies often maintain and promote their management position and compensation by choosing to disclose the high level of corporate information. On the contrast, Skinner (1994) argued that poorly performing firms would disclose greater information in order to avoid subsequent legal liability. Lang and Lundholm (1993) found no-clear relationship and even there was no relation between profitability and the information disclosure (Wallace et al., 1994). However, in a competitive labor market, managers of high profitability firms will disclose more information to the market in order to enhance the value of the companies, give prominence to the value of their human capital as well as to reduce political costs (Barako, 2007). Based on the above arguments, the following hypothesis is tested:

H2: The higher the profitability, the higher the extent of voluntary disclosure.

2.1.3- Leverage

Meek et al. (1995), followed by Chau and Gray (2002) illustrated that long-term creditors expected the high level of disclosure information from borrowers (firms) to minimize their risks. Ahmed and Courtis (1999) also reported that high-debt-level firms are often incurred higher monitoring costs and the best solution for them to reduce these costs is to disclose much more information in their annual reports. In addition, such firms tend to prepare detailed information in annual reports to attract more funds from financial investors (Ahmed and Nicholls, 1994).

Empirical results are mixed. Haniffa and Cooke (2002) stated a positive relationship between leverage and the level of disclosure, which is consistent with the earlier evidence (e.g., Malone et al., 1993 and Naser, 1998). However, Hossain et al. (1994) and Carson and Simnett (1997) showed no significant relationship between leverage and disclosure in their sample. In this study, the following hypothesis is examined:

H3: The higher the leverage, the higher extent of voluntary disclosure.

2.2- Ownership structure

The ownership structure determines the level of corporate monitoring and thereby the level of information disclosure (Eng and Mak, 2003). One of the most important features of Vietnamese listed companies is that many of these firms originated from SOEs and the privatization process allows institutions, foreigners as well as individuals to obtain a significant proportion of shares soon before being listed (Vu et al., 2011). Moreover, Vietnam economy attracts huge capital resources from foreign countries, and foreign ownership potentially plays an important role in the development of Vietnam's emerging capital market. Ownership structures have been studied in various aspects of prior researches (e.g. ownership concentration, government ownership, family ownership, foreign ownership, institutional ownership and managerial ownership). Accordingly, this study

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examines three important ownerships in Vietnam's capital market, namely government ownership, foreign ownership and institutional ownership.

2.2.1- Government ownership

Many papers stated that the level of disclosure information will be weakened by the presence of state ownership. In developing countries like Malaysia, state-owned companies tend to disclose less information in order to protect their political linkages as well as their beneficial owner since they are mostly politically connected (Ghazali and Weetman, 2006). Jiang and Habib (2009) argued that firms with high state ownership have their separate monitoring by the government as well as the ability of accessing to government fund, thus they might not disclose information extensively. Moreover, Xiao and Yuan (2007), Jiang and Habib (2009) and Naser and Nuseibeh (2003) also pointed out that, for the state-owned companies, increasing shareholder fund and maximizing profit is not the main purpose, because of the guaranteed returns by the state. These companies mainly aim at enhancing on wealth distribution as well as maintaining social order. Vu et al. (2011) concluded that high proportion of state ownership firms have less motivation to disclose information since they have no difficulty in obtaining additional funds, regardless of information disclosure. Based on the above discussion, the following hypothesis is examined:

H4: There is a negative association between the extent of voluntary disclosure and government ownership in the annual reports of Vietnamese non-financial listed firms.

2.2.2- Foreign ownership

Ho et al. (2008) stated that foreign investors would enhance corporate governance practices, which impacted significantly on disclosure level of the firms. Haniffa and Cooke (2002) and Bradbury (1992) argued that monitoring the actions of management by foreign owners required a greater need for disclosure information. They found a positively significant relationship between the level of voluntary disclosure and foreign ownership. According to Xiao and Yuan (2007) and Craswell and Taylor (1992), in the foreign-owned companies, the difficulties for foreign shareholders to control management behavior were not only differences in geography but also barriers in culture and language. Singhvi (1968) also found that most companies with high proportion of foreign ownership are often multinational subsidiaries, and there is a great influence of foreign owners' on the practices of corporate governance, which impacts significantly on the corporate financial reporting. As such, this study proposes the following hypothesis:

H5: The higher the percentage of shares held by foreign investors, the higher the level of voluntary disclosure.

2.2.3- Institutional ownership

Institutional investors play an important role, hold a large proportion of capital and express a strongly professional experience in supplying the investment funds to financial markets. Summa and Ben Ali (2006) affirmed that institution investors required firms to recognize successful factors as well as risks through disclosure information in order to better evaluate and estimate future cash flow distributions (Raida and Hamadi, 2008). According to Trabelsi et al. (2004), institutional investors can protect shareholders' rights and wealth as well as improve voluntary disclosure strategy.

Carson and Simnett (1997) demonstrated a significantly positive association between the percentage ownership by institutional investors and voluntary disclosure of corporate governance practices by listed companies in Australia. On the other hand, Bushee et al. (2003) and Khlifi and Bouri (2007) suggested a negative relation between institutional ownership and the extent of voluntary disclosure. Given shareholder activism and the monitoring potential of institutional shareholders, the following hypothesis is tested:

H6: The extent of voluntary disclosure in annual report is positively related to the level of institutional ownership.

2.3- Corporate governance characteristics

The corporate governance characteristics which have been studied in this research include the existence of internal audit committees, type of auditing firms and the dual leadership.

2.3.1- The existence of internal audit activities

According to Institute of Internal Auditing (IIA), the professional organization for internal audit was founded in 1941 with headquarters in the United States with more than 122,000 members' worldwide. Internal audit is the independent assessment and consulting activities within the organizations. It is designed to improve and add value to the operations of such organizations. It helps the organizations to achieve objectives by evaluating and improving systematically the effectiveness of management processes, to control and manage the risks.

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Yuen et al. (2009) indicated that in the corporate governance, an audit committee has the duties of supervising the quality of reporting financial statements and ensures that the management board is "well informed about company decisions regarding accounting policies, practices, and disclosures". The existence of the audit committee will make a contribution to highly reliable annual reports, reduce and adjust errors and irregularities through the auditing profession (McMullen, 1996). A number of previous studies provided empirical evidence of a positive association between the presence of an audit committee with its activities and the voluntary disclosure practices in the U.S. (Malone et al., 1993; Singhvi and Desai, 1971), New Zealand (McNally et al., 1982), Switzerland (Raffournier, 1995), Czech Republic (Patton and Zelenka, 1997), Spain (Inchausti, 1997), Hong Kong (Ho and Wong, 2001), Jordan (Naser et al., 2002), Kenya (Barako et al., 2006). However, several researches illustrated that there was no significant association in India (Singhvi, 1968), Singapore (Ng and Koh, 1994), Malaysia (Hossain et al., 1994; Haniffa and Cooke, 2002), UK (Firth, 1979; Camfferman and Cooke, 2002) and France (Depoers, 2000).

However, in Vietnam almost non-financial listed companies have only internal control, not internal audits, or for companies that this internal audit department exists, its operation is very faint. Internal audit's role has not been aware, even to be confused with the internal control (belong to Executive Board), meanwhile in fact internal audit is under administration of the Board of Directors.

Given the influence of audit committees and its activities on the context and content of corporate annual reports, the following hypothesis is suggested:

H7: The higher level of voluntary disclosure is associated with firms that have internal audit activities.

2.3.2- The big four auditing firms

Big four auditing firms consist of four international auditing companies: Deloitte Touche Tohmatsu, Pricewaterhouse Coopers, Ernst & Young and KPMG (Owusu-Ansah, 1998). Al-Shammari and Bader (2008) suggested that there were benefits for both auditing firms and their clients in choosing an external auditor, since it could confirm the value of both auditing companies and clients. For example, Craswell and Taylor (1992) showed the favorite of choosing a Big Six auditing firms of listed companies, and this sent a message to the clients that famous auditing companies had their own high quality services.

Some studies have failed to discover a significant relationship between the auditor types and disclosure level (Wallace et al., 1995; Hossain et al., 1995). On the other hand, a number of other previous studies have documented a relationship between audit firm size and corporate disclosure, e.g. Ahmed and Nicholls (1994), Raffournier (1995), Wang et al. (2008), Wallace et al. (1994). Based on the above discussion, the following hypothesis is examined:

H8: The extent of voluntary disclosure is higher for firms that are audited by the big four audit firms.

2.3.3- The dual leadership structure

In the corporate governance literature, one of the most discussed issues is that whether firms should choose unitary leadership structure (Chair of the Director Board and the CEO are the same person) or dual leadership structure (two positions held by different persons). Proponents of agency theory support for the duality since it can provide "the essential checks and balances" for the performance of the Board's managers (Haniffa and Cooke, 2002). Rouf (2011) found that separating these two positions helps companies to avoid the conflict of interests and monitor smoothly the management functions.

However, Forker (1992) researched the relationship between corporate governance and disclosure quality, and showed evidence of a negative relationship between disclosure quality and the duality. He or she found the compromised monitoring function of an individual in the case of one person who occupies the positions of both CEO and the chairman. On the other hand, other researches such as Barako et. al. (2006) and Ho and Wong (2001) empirically presented no significant association between the "dominant personality" (measured as CEO and board chair combined) and company performance. Based on the above discussion and previous empirical evidence, the following hypothesis is examined:

H9: The extent of voluntary disclosure is higher for firms with a dual leadership structure.

3- RESEARCH METHODOLOGY

Two components were developed to measure the level of voluntary disclosure: (1) establishing an item list of voluntary disclosure; (2) determining the extent of the actual disclosure of these items.

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3.1. The items of voluntary disclosure

The items of voluntary disclosure have been presented and grouped in six categories in Binh (2012) as follows:

I. General corporate information
II. External Audit Committee
III. Financial information
IV. Forward-looking information
V. Employee information, social responsibility and environmental policy
VI. Board structure disclosure

The table here includes the list of voluntary disclosure items after sending to some accounting experts who work with or are members of institutions that influence corporate financial reporting in Vietnam to check whether the items are voluntary or not (72 items):

Table 1: List of voluntary disclosure items in Vietnamese listed companies' annual reports

General Corporate Information	
1	General information about the economy
2	Corporate mission statement
3	Brief history of the corporation
4	Detailed description of major goods/products
5	Analysis of enterprises' market share
6	Advantages and disadvantages in the development of customers and markets
7	Business environment (economics, politic…)
8	Statement disclosure relating to competitive position in the industry
9	Description of marketing networks for finished goods/products
10	Information of member companies
11	Methods of quality control
12	Company's achieved awards
13	Corporate contribution to the national economy
14	Significant issues during the year
Audit Committee	
15	The role and function of the audit committee
16	Names and qualifications of the members of audit committee
17	Number of members on audit committee
18	Number of committee meetings
19	Attendance at committee meetings
20	Statement of independence
21	Report on completed work
Financial Information	
22	Summary of financial data for the last 3 years or over
23	Share price information

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24	Supplementary inflation adjusted financial statements
25	Retained profit
26	Bank loan, mortgage and their use
27	Advertising and publicity expenditure
28	Foreign currency fluctuation information during the year
Forward-looking Information	
29	Factors that may affect future performance
30	New product/service development
31	Marketing plan, distribution system expanding plan
32	Sale expanding plan
33	Effect of business strategy on future performance
34	Projection of research and development expenditure
35	Project of cash flows
36	Planned advertising and publicity expenditure
37	Earnings per share forecast
38	Future sales forecast
39	Planned capital expenditure
40	Future profit forecast
Employee Information, Social Responsibility and Environmental Policy	
41	Total amount of employees for the last two or more years
42	Category of employees by sex
43	Amount of employee remuneration, remuneration policies and bonus
44	Categories of employees trained
45	Policy on employee training
46	Expenses for employee training
47	Reasons for change in employee number
48	Qualification of the accountants
49	Data on workplace accidents
50	Disclosure of welfare policy
51	Redundancy policy
52	Recruitment policy
53	Factors of corporate culture
54	Information about safety policy
55	Cost of safety measures
56	Company's contributions to the community
57	Environment protection programs
Board Structure Disclosure	
58	Name, age and address of directors

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59	Education and professional qualification of directors
60	Skills and experiences of directors
61	Directors' interests in competing businesses
62	Directors' shareholding in the company and other related interests (e.g. stock options)
63	Number of meetings per year
64	Qualification of the company's secretary
65	Director's analysis of the fee and other benefits disclosure
66	Director's analysis of the remuneration-performance-based compensation
67	Director's analysis of the remuneration-non-performance-based compensation
68	Role and function of the remuneration committee
69	Directors' current accounts/loans to officers
70	Directors' interests in significant contracts
71	A statement of the interests of each director and CEO of the company in equity or debt securities of the company or any associated corporation (class and number of such securities)
72	Commentary on the quality of the company's key relationships with investors, employees, customers, creditors, suppliers, and other significant parties

3.2- Sample selection

As introduced in Binh (2012), the sample period in this study is only for the year of 2009. The sample includes of 199 companies, listed on two stock exchanges: Hanoi Stock Market (HNX) and Hochiminh Stock Market (HOSE) in Vietnam's Stock Market. The sample of non-financial listed companies will be presented in details as follows:

Table 2: Sample selection

Listed companies in sample	Total
Total listed companies	457
Deduct:	
- Number of companies newly listed from 1st January 2009 to 31st December 2009	150
- Number of financial listed companies	10
- Number of companies that annual reports are not available (in State Securities Commission of Vietnam's and listed companies' webpage, etc…)	98
Sample	**199**

This study uses the multiple regression model (Ordinary Least Squares (OLS)) as the primary to examine the significant association between independent variables of corporate governance, companies' characteristic and firms' ownership structure and the dependent variable of the whole Vietnamese voluntary disclosure (DSL) as well as six detailed information categories of voluntary disclosure (from DSL1 to DSL6). Nine hypotheses from Hypothesis 1 to Hypothesis 9 also have been tested.

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In the sample of 199 companies, three of them have been excluded, since their beta coefficients (β) are negative in the process of calculating variable of Cost of Capital. The sample is now including 196 non-financial listed firms.

The following equation is the general form of regression model which has been fitted to the data in order to assess the impact of each variable on the disclosure index DLS and to test the associated hypotheses:

$$I_{ij} = \beta_0 + \beta_1*LSIZE_j + \beta_2*PROFj + \beta_3*LEV_j + \beta_4*STATE_j + \beta_5*FORN_j + \beta_6*INSTI_j + \beta_7*AUDI_j + \beta_8*BIG4_j + \beta_9*DUAL_j + \varepsilon_{ij}$$

where:
I: voluntary disclosure index scores for sample companies
i: number of indices according to overall disclosure;
j: number of companies (1,… 196).

4- RESULTS AND DISCUSSIONS

4.1- Statistics of variables

Table 3 presents names and full meanings of all sample variables. It reported that the level of average voluntary disclosure in the sample companies is at medium level with the mean of 43.36% (ranged from 2.7% to 82.7%). It is much higher than Ferguson et al. (2002) in Hong Kong (13%), Meek et al. (1995) in U.S., U.K. and Continental Europe (18%), Ghazali and Weetman (2006) in Malaysia (31%); a little higher than Hossain and Helmi (2009) in Qatar (37%) and less than Al-Shammari (2008) in Kuwait (46%).

Table 3: Summary of statistics of the variables (N = 196)

Variable	Min	Max	Mean	p50	S.D	N
DSL	0.027	0.827	0.434	0.431	0.152	196
DSL1	0.013	0.204	0.146	0.161	0.048	196
DSL2	0	0.097	0.011	0	0.024	196
DSL3	0	0.089	0.029	0.019	0.025	196
DSL4	0	0.174	0.117	0.127	0.045	196
DSL5	0	0.150	0.038	0.034	0.035	196
DSL6	0	0.154	0.094	0.103	0.034	196
ASSET (bill.VND)	24.383	27239	1421.862	537	2999	196
LNSIZE	1.792	10.212	6.310	6.290	1.320	196
ROA	-0.227	0.700	0.086	0.068	0.090	196
LEV	0.083	34.056	1.690	1.077	2.800	196
STATE	0	0.740	0.240	0.186	0.235	196
FORN	0	0.490	0.125	0.056	0.140	196
INSTI	0	0.883	0.286	0.214	0.230	196
AUDI	0	1	0.184	0	0.388	196
BIG4	0	1	0.173	0	0.380	196
DUAL	0	1	0.587	1	0.490	196
BETA	0.010	1.420	0.874	0.950	0.310	196
IT1	0	1	0.459	0	0.500	196

DSL= Extent of Voluntary disclosure of all non-financial listed companies of 72 voluntary items;
DSL1=Extent of Voluntary disclosure of all non-financial listed companies about General Corporate Information (14 Items);
DSL2=Extent of Voluntary disclosure of all non-financial listed companies about Audit Committee (7 Items);
DSL3=Extent of Voluntary disclosure of all non-financial listed companies about Financial Information (7 Items);
DSL4=Extent of Voluntary disclosure of all non-financial listed companies about Forward-looking Information (12 Items);
DSL5=Extent of Voluntary disclosure of all non-financial listed companies about Employee Information, Social Responsibility and Environmental Policy (17 Items);
DSL6=Extent of Voluntary disclosure of all non-financial listed companies about Board Structure Disclosure (15 Items);
ASSET= The value of total asset of the companies (in billion Vietnamdong);
LSIZE = Firm size (measured by log of Total assets);

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PROF (ROA) = Profitability (measured by ROA);
LEV = Leverage (total debt/total equity);
FOREIGN= Stock owned by Foreign Investors (%);
STATE = Stock owned by State or State-Institutional Investors (%);
INSTITU= Stock owned by other domestic Institutional Investors (%);
AUDI= The existence of internal audit activities (dummy variable that takes the value one if the firm has internal audit activities and zero otherwise);
BIG4 = The existence of BIG 4 audit companies (dummy variable that takes the value one if the firm has been audited by a Big 4 firm and zero otherwise);
DUAL= The existence of dual leadership (General Director and Chairman of Board are different persons). The dummy variable that takes the value one if the firm has the dual leadership and zero otherwise;
BETA= Beta Coefficient (β)
IT1= Manufacturing industries (The dummy variable that takes the value one if the firm belongs to manufacturing industries and zero otherwise)

The items shown in the following tables are based on data quoted in the annual reports of non-financial companies in the Vietnamese Stock Market. Relevant to the actual disclosure, the score of 1 (100%) implies that a company discloses all 72 items in their annual reports, whereas 0 (0%) indicates that there is no item disclosed by the company. The actual disclosure of each company was calculated by the following formula:

$$\text{Actual disclosure of each company} = \frac{\sum_{i=1}^{n} d_i}{n}$$

where:
d_i: the disclosure of index i.
d_i = 1 if the item d_i is disclosed in the annual report, and otherwise 0.
n= 72 (total number of the items that have been disclosed)

4.2- Multiple regressions

4.2.1- Multiple regressions between level of disclosure and independent variables

To test the relationship between the independent variables and DSL, all the variables have been put into the multiple regressions. **Table 4** states the regression results of the relationship between ownership structure, corporate governance, companies' characteristics and the extent of voluntary disclosure. It shows there are four variables with significantly positive relation with DSL, including LNSIZE, PROF, AUDI and DUAL.

Table 4: Multiple Regression results
(dependent variable: weighted voluntary disclosure score)

Variables	Predicted sign	Coefficient	Std Error	t- value	Significant
LSIZE	+	0.022	0.0098	2.26	0.024**
PROF (ROA)	+	0.344	0.1198	2.84	0.005***
LEV	+	0.004	0.0058	0.71	0.486
STATE	-	-0.031	0.049	-0.62	0.534
FORN	+	0.078	0.076	1.25	0.304
INSTI	+	0.048	0.051	0.88	0.351
AUDI	+	0.094	0.026	3.7	0.000***
BIG4	+	0.026	0.033	0.79	0.437
DUAL	+	0.055	0.021	2.56	0.011**

This table presents correlation coefficients for all the variables used in multiple regressions. *significant at the 10% level, **significant at the 5% level, and***significant at the 1% level. R-square= 20; F-value = 6.52; Sig. F= 0.0000; N = 196

A simple ordinary least square (OLS) regression has been run with all the included firms in the sample. Firm size is one of the most important companies' features associated with the voluntary disclosure in the annual reports. Consistent with the previous researches of Lang and Lundholm (1993), Meek et al. (1995), Owusu-Ansah (1998) and Yuen et al. (2009), the statistical results reveal that there is a significantly positive relationship between the extent of voluntary disclosure and the firms' size. The reason may be that larger firms often have more capital and human

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resources to collect, process and present more data and information to public (Vu et al., 2011). The ***Hypothesis 1*** has been accepted (p<5%).

Similarly, the significant and positive relationship between the profitability variable (ROA) and the extent of voluntary disclosure implies that ***Hypotheses 2*** is supported. In fact, in the stock market, companies with the low or negative growth tend to hide the bad news by disclosing less information, and oppositely, the high growth firms are likely to disclose more information to highlight the good news and improve the confidence of the investors (Ku Ismail and Chandler, 2005). This result is consistent with the finding of Lev and Penman (1990), but contrast with Grundy and McNichols (1989), which suggests that firms with large proportion of profitability tend to disclose information less frequently. With regard to the firms' characteristic variables that have been mentioned above, this could point out the fact that, the greater financial capacity of large enterprises and the higher business performance firms tend to voluntarily provide the higher level of information. The findings may help policy makers to balance between the costs and the benefits of increasing information disclosures by smaller firms when evaluating the efficacy of the regulatory arrangements.

The leverage variable is lack of statistical significance to show its impact on the annual reports' information disclosure in our multivariate analysis and hence ***Hypothesis 3*** could not be supported. It indicates that, *Vietnamese creditors such as banks or credit organizations have no significant impact on listed firms' disclosure decisions.* It is consistent with Gordon et al. (2002) which find a non-association between the leverage that measured by a debt to equity ratio and a level of disclosure. However, this finding is contrast to studies by Chow and Wong-Boren (1987) and Cooke (1989) which emphasize that the level of voluntary disclosure increases as the leverage of firms grows. In fact, the higher of the debt, the more increasing of the number of stakeholders, who have a strong self-interest in monitoring disclosures of firm. Therefore, the results seem to be failed to settle the position on capital structure.

The negative and insignificant relationship between state ownership and the level of voluntary disclosures among sample of 196 Vietnamese listed firms (p=0.904) and again, in the opposite of predicted direction indicate that ***Hypothesis 4*** could not be supported. In Vietnam, companies with over 50 percent of government ownership are State-owned-companies. The state as owner often has its separate goals, such as greater employment, social welfare and environmental protection, which are totally different from the profit maximization of individual shareholders (Yuen et al., 2009). Consistent with this research is Nazli and Weetman (2006), which stated no relationship between government ownership and level of disclosure. On the other hand, Yuen et al. (2009) and Jiang and Habib (2009) documented a positive relationship between these two variables.

In addition, no significant relationship was found between the amount of disclosure information and foreign ownership. Therefore, this rejects the conception of ***Hypothesis 5*** that foreign ownership has been seen as an important element in the corporations' characteristics to encourage the transparency of voluntary disclosure to the public. This result is consistent with Xiao et al. (2004), but contrast with Singhvi (1968), Haniffa and Cooke (2002) and Barako et al. (2006), which reveal that the more percentage of foreigners' proportion of stocks ownership, the more voluntary information has been disclosed in annual reports. As mentioned above, although Vietnamese government is trying to attract international capital resources to develop the economy, the limitation of 49% maximum foreign ownership ceiling by Vietnamese law and the barriers of languages certainly influence the control power of foreign investors on managers' decision-making, including the voluntary information disclosure. The data in this study states that the foreign ownership of the listed companies is still at low level (12.5%) (meanwhile the limitation of foreign ownership ceiling by Vietnamese law is 49%) and does not have enough control power to influence on managers' decision-making, including the information disclosure. In future, the regulation makers should continue loosening the rules, especially Foreign Investment Law to attract more foreign investment capital.

Moreover, **Table 4** also suggests that there is no significant association between institution ownership and the level of disclosure. This finding does not support the ***Hypothesis 6*** and is consistent with other previous studies, such as Bushee et al. (2003) and Khlifi and Bouri (2007) which state that the institution ownership is not significantly associated with voluntary disclosure. Nowadays, the institutionalization and privatization are going strongly in Vietnamese enterprises (equitizing the SOEs). This process has been conducted in Vietnam since 1990 and has made encouraging progress. According to annual survey data from Vietnamese General Statistics Office since the year 2000, the number of joint stock companies with state-owned capital of 305 enterprises in the year 2000 was up to 1,096 enterprises in 2005. After 5 years, this number has increased to 791 joint stock companies, and increased nearly 3.6 with an average growth rate of 29.8% per year. Vu et al. (2011) also particularly stated that Vietnamese regulatory makers should more focus on regulations to strengthen the transparency level of disclosure information in the privatization process of state-owned companies.

The statistical results in **Table 4** reveal that there is a significantly positive relationship between the extent of voluntary disclosure and the existence of internal audit activities. As a tool to detect and improve the weaknesses of enterprises' management system, internal audit activities assists the board of directors to control the operations and

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better manage risks. It can enhance the confidence of shareholders in management's quality and internal control, as well as increase the firms' reputation on the stock market. In Vietnam, the internal audit recently exists in the large-sized-companies, though its activities still belong to Control Board and is expected to supervise the functions of corporate governance as well as the innocence of financial statements. In this regards, this study is consistent with the prior researches obtained by Akhtarruddin et al. (2009) in Malaysia and Ahmed and Nicholls (1994) in Bangladesh. Thus the ***Hypothesis 7*** has been strongly supported (p<1%). Practices around the world show that, for the companies with internal audit, the ability of fraud is often lower and the business efficiency is often higher. Nevertheless, 18.4% of listed companies owned internal audit activities, with the lowest average disclosure level of DSL2 about external audit committee (1.07%) (out of 6 DSLs from DSL1 to DSL6) approves that, companies only disclose a low level of information about audit committees or their structures. But because of the importance of the audit activities information in the process of monitoring and early detecting of faults in the financial statements, management of publicly-listed firms should disclose more of this kind of information to fulfill the needs of shareholders and potential investors (Yuen et al., 2009).

According to Decision No. 832/TC/QQD/CDKT in 1997 of Ministry of Finance, internal audit committee reports to the CEO as a part of general manager's administration. It will reduce the independence of audit committee, since the whole management system of firms (prescribed by the board of directors) is the subject that will be reviewed by internal audit. Meanwhile, according to common practice all over the world, the internal audit committee shall report directly to the supervisory board or the Board, i.e. the higher management level. Thus, gradually, the foreign companies in Vietnam must comply with regulations such as the Act of Sarbanes-Oxley of the U.S., it means companies must perform internal audit. These companies will increasingly get the internal audit program that has been implemented by the parent company or has to build their own independent audit. In another developing country, such as Kenya, the establishment of audit committees has become mandatory for all listed companies since 2003. In Vietnam, the strong positive significance between internal audit activities and level of disclosure suggests that *mandating companies to establish their owned internal auditing committee might be a right way to encourage the disclosure and enhance the quality of financial reports* (Barako et al., 2006).

On the other hand, the existence of Big4 auditing companies has no influence on the level of voluntary information of listed firms to the public. It simply means that the size of audit firms does not influence the level of voluntary disclosure. The existence of audit firms in Vietnamese firms does not aim at forcing companies to disclose voluntary information but to ensure that the listed companies will supply the mandatory information (Vu et al., 2011). Therefore, the auditor type does not have a significant relationship with the total of DSL and ***Hypothesis 8*** has been not accepted. The prior researches such as Shingvi and Desai (1971) and Wallace et al. (1994) are consistent with the finding of this study.

Hypothesis 9 is strongly supported with p< 0.05. The result of this study indicates that the dual leadership has positive and significant influence on release of more voluntary information in the corporate annual reports, which is consistent with the previous results obtained by Forker (1992) and Chen and Jeggi (2000). Similarly, Yuen et al. (2009) pointed out that, reducing the shares of CEOs who are also the chairman of the board and separating these two job titles may contribute to enhance the disclosure of information. A positive significant association between the separation of CEO and board chair and the voluntary corporate disclosure clearly separates the decision control and decision management and make the control of the board in overseeing the behavior of top management (CEO) more effectively (Fama and Jensen, 1983). To ensure the best interests for shareholders and investors in catching the corporate voluntary information, *the CEO-Chairman model should continue to be replicated and deployed in all types of enterprises*.

4.2.2. Robustness check of multiple regressions between level of disclosure and independent variables

Al-Shammari (2008) and Yuen et al. (2009) documented the influence of industry types as control variables on the level of voluntary disclosure. For a robustness check, we include the manufacturing industry variable in our model. Cooke (1992), in the empirical study of Japanese listed companies' voluntary disclosure and compulsory disclosure resulted that industry types had significant impacts on the level of disclosure, and manufacturing industry was positively associated with disclosure level. The results in **Table 5** also indicates that level of voluntary disclosure remains positively related to LNSIZE, ROA, AUDI, DUAL and IT1. Therefore, we can conclude that the results of robustness checks further support our hypotheses.

Table 5: Robustness check (dependent variable is DSL and control variable is IT1)

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Variables	Coefficient	Std Error	t- value	Significant
LSIZE	0.021	0.009	2.42	0.016**
PROF (ROA)	0.325	0.124	2.63	0.009***
LEV	0.005	0.006	0.88	0.380
STATE	-0.041	0.048	-0.87	0.387
FORN	0.094	0.069	1.37	0.172
INSTI	0.028	0.050	0.57	0.571
AUDI	0.093	0.025	3.65	0.000***
BIG4	0.030	0.031	0.95	0.344
DUAL	0.044	0.021	2.09	0.038**
IT1	0.058	0.012	4.79	0.000***

R-square= 30.10%; F-value = 9.00; Sig. F= 0.0000; N = 196. *significant at the 10% level, **significant at the 5% level, and***significant at the 1% level.

4.2.3. Multiple regressions between levels of disclosure of each group (in 6 groups) and all independent variables

Table 6 indicates that there is no variable that cross all categories of information, except the independent variable of *profitability (ROA)* is a significant determinant of five out of six groups of disclosure items. In addition, the positive direction of the firms' performance (ROA) is totally agreed with the general direction of the whole companies' disclosure in **Table 5**. The higher the profitability, the higher the disclosure level of these five voluntary information groups. However, there are no significant associations between ROA and disclosure level of *Internal Audit Activities.* It means that there are no differences between firms with high profitability and low profitability in disclosing the information of the Internal Audit Activities.

Table 6: Multiple regression results
(dependent variable: weighted voluntary disclosure score of 6 groups)

	DSL1	DSL2	DSL3	DSL4	DSL5	DSL6
LSIZE	0.009*** (2.93)	0.0008 (1.57)	0.0016 (0.96)	0.005* (1.72)	0.0041 (1.67)	0.0016 (0.57)
ROA	0.067* (1.69)	- 0.0019 (-0.29)	0.054*** (2.96)	0.11*** (2.59)	0.051* (1.94)	0.063** (2.10)
LEV	0.00021 (0.13)	0. 0001 (0.78)	0.0011 (1.17)	0.0003 (0.23)	0.0014 (1.06)	0.001 (1.15)
STATE	-0.0024 (-0.14)	-0. 007* (-0.76)	0.0019 (0.24)	0.0023 (-1.09)	0.011 (-0.35)	0.0013 (-0.21)
FORN	0.052** (2.26)	-0.0045 (-1.82)	0.016 (1.39)	-0.017 (0.22)	-0.0042 (0.52)	-0.0024 (0.34)
INSTI	0.022 (1.16)	-0.0035 (-1.01)	0.015* (1.74)	-0.0042 (-0.31)	0.009 (0.76)	0.01 (0.76)
AUDI	0.009 (1.14)	0.058*** (17.85)	0.008* (1.80)	0.0009 (0.11)	0.006 (0.91)	0.012** (2.22)
BIG4	0.0075 (0.81)	0.0017 (1.09)	0.0046 (0.85)	-0.0059 (-0.55)	0.006 (0.73)	0.012 (1.64)
DUAL	0.0071 (0.97)	0.0012 (0.87)	0.013*** (3.76)	0.015** (2.21)	0.0083 (1.63)	0.0094* (1.81)
Obs.	196	196	196	196	196	196
F-value	4.69	41.62	4.74	2.11	2.37	2.54
Sig. F	0.0000	0.0000	0.0000	0.0304	0.0149	0.0090
R-square	0.1620	0.8802	0.1529	0.0822	0.0885	0.0908

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Numbers in parentheses represent *t*-values that are adjusted using robust standard errors corrected for clustering at the firm level. *significant at the 10% level, **significant at the 5% level, and***significant at the 1% level. The model has been used is multiple regression model (OLS).

In addition, **Table 4** indicated a positive association between level of disclosure of sample firms (DSL) and *Audit Committee* as well as *Dual Leaderships;* however, for the detailed categories from DSL1 to DSL6, the significant association has been found between three out of six disclosure groups and these two variables. In detail, the existence of audit committee has no affects on DSL1, DSL4, and DSL5*;* while the presence of dual leadership structure is not relevant to DSL1, DSL2 and DSL5. It can be seen that the corporations with dual leadership and audit committee will certainty have positive capital and human resource ability to thoroughly investigate and supply more information of the *Financial* situation as well as the *Board Structure Disclosure* for public. Barako (2007) stated that, for listed firms that disclose less financial information, they will disclose more of general corporate information instead to explain in detail about the factors affecting their poor financial performance. These results are in line with the above analysis which emphasizes the less importance role of internal audit committees on the disclosure of non-mandatory information of listed companies. Moreover, *firm size* is positively associated with two categories of DSL1 and DSL4; meanwhile in section 4.2.1, firm size is associated with the disclosure of the whole sample companies. That means, the large firms tend to promote the advantages and strengths of firms through the transparency of *General Corporate and Forward-looking Information*, while there are no differences between big and small companies in the remaining four disclosure categories.

Table 4 shows no significant consistence between level of disclosure and ownership structure; nevertheless **Table 6** indicates that each type of ownership has a strong relationship with one category of disclosure. Firms with high proportion of state ownership tend to disclose less the information of the *Audit Committee*, while high foreign ownership firms disclose more *General Corporate Information*. Relevant to the firms with high percentage of institutional ownership, they tend to disclose much more *Financial Information* than others. The variables of BIG4 have no significant influence on the disclosure of any information category of the companies. This is consistent with the section 4.2.1, which documented by the data that, the existence or non-existence of audit committee has no significant influence on the level of voluntary disclosure. These findings are similar to those of Meek et al. (1995) and Barako (2007) which investigated the corporate voluntary disclosure in some developed countries (U.S., U.K. and continental Europe) and another developing country (Kenya) and noted that: "*factors explaining voluntary annual report disclosures differ by information types*". The findings show that each factor of companies' governance, ownership and corporate characteristics has totally different influences on the level of listed firms' voluntary disclosure.

4.2.4. Robustness check for multiple regressions between levels of disclosure of each group (in 6 groups) and all independent variables

Table 7 also illustrates the different influences of independent variables on disclosure categories like in the above four methods and prior researches, however, all the significant relationship between independent variables and disclosure categories are in expected signs. Still with the control variable of IT1, the data indicates that except DSL2, IT1 variable is positively associated with all the other five disclosure categories. It reports that there is a positive sign, but there are no significant relationships between manufacturing industry and level of disclosure information of internal audit activities. The other five disclosure categories report the robustness.

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Table 7: Robustness check
(dependent variables are disclosure categories; control variable is IT1)

Variables	DSL1	DSL2	DSL3	DSL4	DSL5	DSL6
LSIZE	0.0091***	0.0008	0.0014	0.0048*	0.0040*	0.0012
	(3.00)	(1.54)	(0.97)	(1.72)	(1.91)	(0.52)
ROA	0.0632	-0.0022	0.0509***	0.1068***	0.0479*	0.0581*
	(1.54)	(-0.34)	(2.93)	(2.46)	(1.86)	(1.96)
LEV	0.0004	0.0001	0.0013	0.0005	0.0016	0.0012
	(0.23)	(0.89)	(1.34)	(0.36)	(1.25)	(1.34)
STATE	-0.0044	-0.0073*	0.0003	-0.0187	-0.0069	-0.0042
	(-0.26)	(-1.87)	(0.03)	(-1.25)	(-0.60)	(-0.38)
FORN	0.0528**	-0.0042	0.0189	0.0067	0.0122	0.0080
	(2.24)	(-0.74)	(1.56)	(0.31)	(0.68)	(0.43)
INSTI	0.0177	-0.0038	0.0116	-0.0085	0.0048	0.0064
	(0.97)	(-1.09)	(1.46)	(-0.51)	(0.42)	(0.54)
AUDI	0.0087	0.0580***	0.0080*	0.0006	0.0056	0.0122**
	(1.09)	(17.97)	(1.78)	(0.07)	(0.85)	(2.20)
BIG4	0.0084	0.0018	0.0053	-0.0051	0.0067	0.0126
	(0.91)	(1.13)	(0.98)	(-0.50)	(0.90)	(1.78)
DUAL	0.0049	0.0010	0.0116***	0.0130*	0.0057	0.0074
	(0.68)	(0.72)	(3.31)	(1.92)	(1.10)	(1.46)
IT1	0.0114***	0.0010	0.0091***	0.0111***	0.0149***	0.0100***
	(4.48)	(1.60)	(5.11)	(2.70)	(7.88)	(3.13)
Obs.	196	196	196	196	196	196
F-value	5.47	38.94	7.70	2.79	9.92	3.47
Sig. F	0.0000	0.0000	0.0000	0.0031	0.0000	0.0003
R-square	0.2010	0.8815	0.2438	0.1252	0.2172	0.1516

Numbers in parentheses represent *t*-values that are adjusted using robust standard errors corrected for clustering at the firm level. *significant at the 10% level, **significant at the 5% level, and***significant at the 1% level.

5. CONCLUSION

This study is one of the first empirical papers that investigate the relationship between firms' characteristics, ownership structures, corporate governance structures and the extent of voluntary disclosure in the Vietnamese firms' annual reports.

Firstly, the above analyses illustrated that the firms' characteristics which are positively associated with the voluntary disclosure are ***firm size*** and ***profitability (ROA)***. There are no ownership structures that influence levels of voluntary disclosure. Corporate governance characteristics related to the extent of voluntary disclosure are the presence of ***dual leadership structure.*** *It is in consistent direction to my expectations and to numbers of prior researches in both developed and developing countries.*

Secondly, the paper also reported the different influential levels of such independent variables on all categories of disclosure information. The specific factors that significantly explain different types of voluntary information are not the same for all categories of information. These findings are similar to those of Meek et al. (1995) and Barako (2007) which investigated the corporate voluntary disclosure in some developed countries (U.S., U.K. and continental Europe) and another developing country (Kenya) and noted that: "*factors explaining voluntary annual report disclosures differ by information types*".

Thirdly, *the various aspects of corporate governance, companies' characteristics and firms' ownership structure collectively influence all six categories of disclosure information on different levels*. It means that each independent variable could be significantly associated with one or several categories, but not related with the rests (*factors explaining voluntary annual report disclosures differ by information types*).

This research has several limitations. ***First***, the sample of corporations' annual reports is only one year, 2009. It is better if the author investigates voluntary disclosure information in several recent years in order to observe the fluctuation of such information easily. ***Second***, since the annual reports of 98 in the total of 457 Vietnamese listed companies are not available, the results are, therefore, not applicable to all.

In conclusion, the research also illustrated that, in the context of integration and modernization in Vietnam today, attracting foreign capital in the stock market is of more and more significance since in this study, foreign investment in Vietnam's stock market, despite the remarkable efforts of government just reaches 12.5%. It is certain that with enhanced quality of the corporate annual reports, firms can find it easier to attract a strategic international shareholder to increase their expected size and growth. For the firms' management, this study recommends that, on one hand they need to strengthen supervision and monitoring the performance of information disclosure of listed

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companies, on the other hand they need to improve the quality, content and diversify means of information disclosure under the motto: full, timely, accurate and accessible. What is more, the state should have strict sanctions in forcing firms to stop listing for the firms that do not publish or not provide complete, timely information or deliberately conceal information detrimental to investors.

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